

SUDHEER AUTOMOBILES

Kakinada Branch • Mid-Year Sales & Performance Report

Reporting Period: January 1, 2026 – June 30, 2026

1. Executive Summary

Sudheer Automobiles has maintained its position as a premier automotive dealership in the East Godavari region, particularly serving the growing urban and semi-urban demographic of Kakinada. This comprehensive mid-year report outlines our sales performance, operational milestones, and strategic initiatives for the first half (H1) of 2026.

Despite fluctuating macroeconomic conditions and transient supply chain bottlenecks earlier in the year, our Kakinada branch demonstrated exceptional resilience. Driven by aggressive regional marketing, a robust portfolio of passenger and commercial vehicles, and an increased focus on customer lifecycle management, we have surpassed our H1 revenue targets by 12%. The sustained agricultural prosperity in the surrounding Godavari districts, combined with the expanding industrial footprint near the Kakinada port, has served as a significant catalyst for commercial and private vehicle sales alike.

TOTAL UNITS SOLD

2,145

▲ 14% vs H1 2025

TOTAL REVENUE

₹ 142.5 Cr

▲ 18% vs H1 2025

SERVICE RETENTION

78%

▲ 5% vs H1 2025

2. Market Context & Regional Dynamics

The automotive landscape in Kakinada is evolving rapidly. Over the past six months, we have observed a definitive shift in consumer preferences. Previously dominated by entry-level hatchbacks and standard commuter motorcycles, the market is now displaying a strong appetite for compact SUVs, premium sedans, and performance-oriented two-wheelers.

Key regional factors influencing this trend include:

- **Infrastructure Development:** The ongoing expansion of road networks connecting Kakinada to Rajahmundry and Visakhapatnam has encouraged longer commutes, pushing consumers toward vehicles with better safety profiles and comfort features.
- **Economic Diversification:** Kakinada's transformation into a smart city and the growth of IT-enabled services have created a new demographic of young, upwardly mobile professionals with higher disposable incomes.
- **Agricultural Yields:** Strong aquaculture and agricultural yields in the Godavari delta have resulted in substantial seasonal liquidity, directly boosting rural and semi-urban vehicle purchases, particularly in our commercial pickup and rugged utility segments.

3. Segment-Wise Sales Analysis

Our diversified portfolio allowed us to capture value across various consumer segments. The introduction of new, feature-rich models earlier this year played a crucial role in footfall conversion at our main showroom on Pithapuram Road.

VEHICLE CATEGORY	UNITS SOLD (H1 2025)	UNITS SOLD (H1 2026)	YOY GROWTH	REVENUE (₹ CR)
Two-Wheelers (Commuter)	850	920	+ 8.2%	8.5
Two-Wheelers (Premium/EV)	120	285	+ 137.5%	4.2
Passenger Cars (Hatchback/Sedan)	410	390	- 4.8%	28.4
Passenger Cars (SUV/MUV)	320	415	+ 29.6%	62.5
Commercial Vehicles & Pickups	110	135	+ 22.7%	18.6
Total / Average	1,810	2,145	+ 18.5%	122.2*

*Table excludes After-Sales and Spares revenue which account for the remainder of the ₹142.5 Cr total.

3.1 The Surge in SUV Demand

The data highlights a significant 29.6% year-over-year increase in the SUV and MUV categories. Customers in Kakinada are increasingly prioritizing ground clearance, road presence, and advanced technological features. We successfully capitalized on this trend by maintaining optimal inventory levels of our best-selling compact SUVs, ensuring minimal wait times compared to regional competitors.

4. Electric Vehicle (EV) Transition Strategy

One of the most notable successes of H1 2026 has been the rapid adoption of Electric Vehicles, particularly in the two-wheeler premium segment, which saw a staggering 137.5% growth. The

state government's push for green mobility, combined with improved charging infrastructure within Kakinada city limits, has alleviated range anxiety for urban commuters.

"Sudheer Automobiles proudly inaugurated Kakinada's first dedicated 'EV Experience Zone' within our primary facility, providing customers with interactive range-calculators, battery health demonstrations, and expedited financing for green vehicles."

Moving forward, we are partnering with local corporate campuses and the Kakinada Special Economic Zone (KSEZ) to offer bulk leasing and purchasing programs for EV fleets, further solidifying our position as market leaders in the sustainable transit space.

5. After-Sales Operations & Customer Retention

Vehicle sales form the foundation of our business, but after-sales service guarantees long-term profitability and customer loyalty. Our state-of-the-art service center located in Auto Nagar has been running at 94% capacity utilization.

- **Service Revenue:** Generated ₹20.3 Cr in H1 2026, driven by an aggressive push on Annual Maintenance Contracts (AMCs) and extended warranties.
- **Turnaround Time (TAT):** Reduced average minor-service TAT from 4.5 hours to 3.2 hours by implementing a digital bay-management system.
- **Spare Parts Availability:** By optimizing our regional warehousing strategy, genuine parts fill-rate has improved to 98%, virtually eliminating service delays caused by part shortages.

Customer Satisfaction (CSAT) scores for the service department currently stand at 4.6 out of 5.0. To improve this further, we have initiated a 'Doorstep Service' program for basic maintenance, catering specifically to busy professionals and elderly customers within a 15km radius of Kakinada town.

6. Marketing and Community Engagement

Our marketing approach in 2026 transitioned from traditional print and local cable ads to a highly targeted digital and experiential strategy.

Local Event Sponsorships: We acted as mobility partners for several prominent cultural events and Godavari local festivals, securing high-visibility placements for our latest SUV models. These physical touchpoints generated over 500 high-intent test drive requests.

Digital Outreach: Localized social media campaigns highlighting customer delivery ceremonies (using the popular #SudheerAutoFamily hashtag) have yielded excellent engagement. Video content detailing vehicle features in regional Telugu has significantly lowered the cost per lead.

7. Strategic Outlook for H2 2026

As we pivot toward the second half of the year, our primary focus will be maximizing returns during the crucial festive season (Dasara and Diwali). Historically, Q3 and Q4 account for nearly 60% of our annual retail volume.

7.1 Key Initiatives:

- **Rural Expansion:** Deploying mobile showroom units (modified heavy-duty trucks) to conduct weekend sales melas in sub-districts like Peddapuram, Tuni, and Amalapuram to capture the post-harvest rural liquidity.
- **Pre-Owned Vehicle Segment:** Formalizing our entry into the certified pre-owned car market to capture value from trade-ins and appeal to budget-conscious buyers.
- **Capacity Building:** Hiring and training 25 additional sales consultants and 15 certified technicians to ensure zero compromise on customer experience during the festive rush.

In conclusion, Sudheer Automobiles is strategically positioned to not only meet but exceed our annual targets for 2026. Through relentless focus on operational efficiency, customer satisfaction, and adapting to Kakinada's changing mobility needs, we remain the automotive destination of choice in East Godavari.

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